

In reality, he does nothing of the sort. He is like the successful beta investor. He does not create a trend. He does not buck the trend. He does not try to beat the trend. He just wants to find a trend that is running his way. He doesn't really try to make history; he just tries to make history work for him.

Here's another rule that might help: Don't be a pioneer. Be at the tipping point.

Malcolm Gladwell popularized a simple idea that some things seem to suddenly "catch on," while others don't. We look at it in a slightly different way. There are always new ideas, new inventions, and new innovations coming out. Most, like mutations, are dead ends. They never go anywhere.

The popular idea is that the successful entrepreneur comes up with a new idea. At the time, most people dismiss his idea as "too far out" or "ahead of its time." But with vision, hard work, and courage, he sticks with it, and despite all odds, he makes a success of it. It's the kind of story people like to hear. It has a hero. It has adversity. And it has a happy resolution.

Of course, this happens. But most wise entrepreneurs will not stake their successes on wacky ideas. They know that most ideas that are "too far out" stay too far out. Most ideas that are ahead of their time never get in the right time zone. And most entrepreneurs who are committed to the success of their ideas fail with the ideas themselves.

The smart entrepreneur looks for the idea—the business, the innovation, the industry—that has already proven itself, but which is not fully implemented. That is, he wants to launch his boat on a rising tide. Because he knows that success is not just a matter of his own genius and hard work. It is also a matter of luck—and the kind of luck you get when you have the wind at your back.

The smart entrepreneur wants an idea that has recently arrived at the "tipping point," where it has moved from the fringe to the mainstream. This is an idea that has proven itself, sometimes over many years in the wilderness of "out there" ideas. Once proven—and moving to wide acceptance—it is a great idea for an entrepreneur.

You can see this phenomenon clearly in the electronic revolution of the 1990s and 2000s. At least, we saw it clearly. In the early 1990s, we were exclusively a paper-based, post office-dependent publishing business, little